

VSEUS Weekly Economics Gazette Newsletter

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

The Trump administration is pausing the possibility of potential military operations against Iran to "protect" the right to protest. This halt comes as republican members become skeptical that intervention could successfully dismantle the regime. Simultaneously, Trump is pressuring EU allies by reviving his bid to purchase Greenland from Denmark. As a response, the EU sent troops to Greenland to diplomatically reject the transaction. Domestically, Mark Carney secured a trade deal with China: Canada will lower its 100% EV tariffs in exchange for China removing duties on canola, providing a strategic boost to Canadian farmers' exports.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	+0.1%	+1.58 %
TSX	+0.92%	+0.71 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.16 %	4.143 %
Canada 10 Year Bond Yield	3.351 %	3.412 %

Bay Street vs. Wall Street

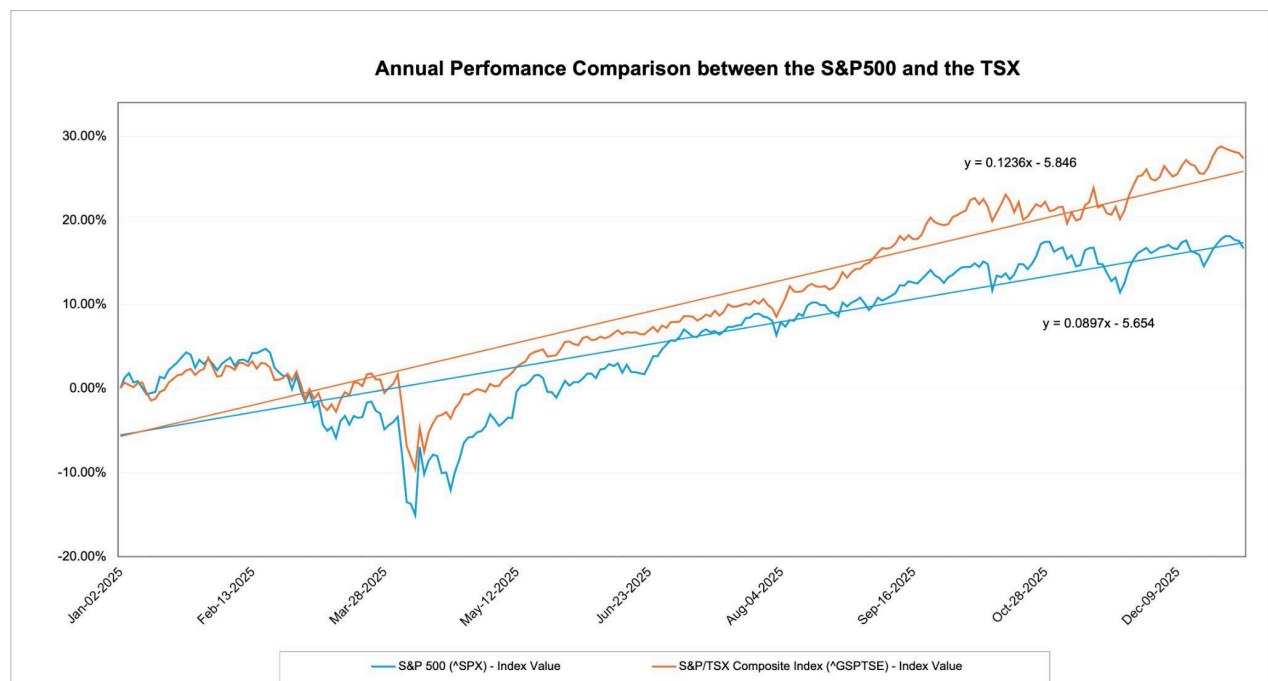
Author, Source & Date Published: Stephanie Hughes, January 2026

Link: [Bloomberg Article](#)

Overview:

The **Canadian market has outperformed the S&P 500** as global investors seek to diversify away from the United States. The US has faced significant volatility recently, driven by attempts to question the independence of the Federal Reserve and concerns over executive overreach. In addition to this political climate, Canada's ability to provide the natural resources necessary for the AI revolution has made it a highly attractive destination for investment.

The TSX is expected to maintain its strong performance through 2026, largely because its valuations remain more reasonable than those in the US. While major US indices are currently trading at an average P/E ratio of 40. The Canadian market offers a more attractive entry point for value-conscious investors.



VSEUS, internal creation, 2026. Source: Capital IQ

Not only did the TSX provide a better return, but it also demonstrated a lower level of risk; specifically, the S&P 500's standard deviation was three times greater than that of the TSX.

Risk:

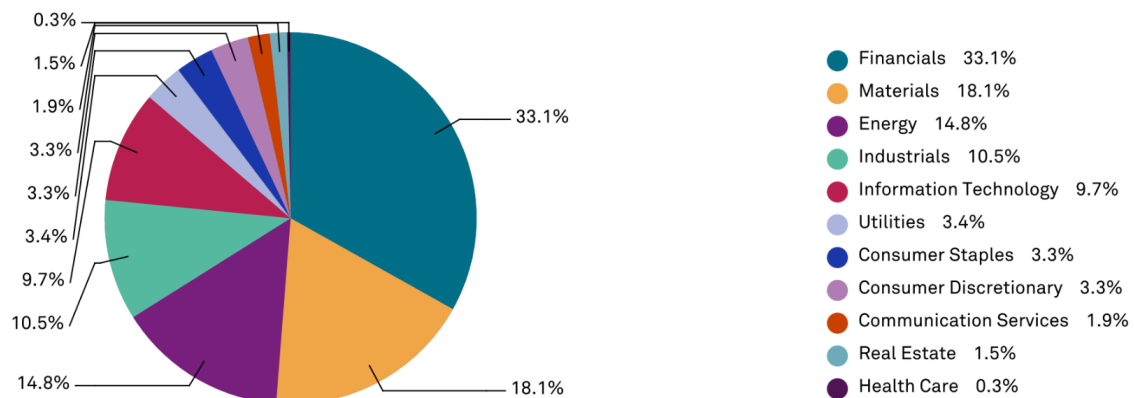
- Investors in the TSX are exposed to currency fluctuations because the index is traded in CAD. This exposure could be risky if the CAD depreciates against the USD; however, the opposite occurred. The CAD appreciated 4% annually against the US dollar. Consequently, investors in the TSX enjoyed both higher real returns and reduced risk.

Catalyst:

- The primary drivers for this shift were investors looking to diversify away from the USD as the impact of specific US executive policies began to take hold. The new 3% inflation normal can have massive effects on the long term.

Educational Angle:

How is the TSX index composed?



S&P Dow Jones Indices, S&P Global (2026)

The **S&P/TSX Composite Index** is composed of the **approximately 250 largest companies on the Toronto Stock Exchange**, serving as the Canadian equivalent to the S&P 500. These companies capture roughly 80% of the total market capitalization of the entire Toronto stock market.

The index utilizes a **capitalization-weighted methodology**, which assigns **more significance to stocks with higher market capitalizations**. Under this structure, major players such as RBC, Shopify, and TD are the stocks that carry the most weight and exert the most influence on the index's movement. While the index reached historic highs, the growth was **largely driven by 'Blue Chip' giants** like RBC, which surged an incredible 42% over the year. Any slip in these major finance and resource companies could have a significant impact on the index.

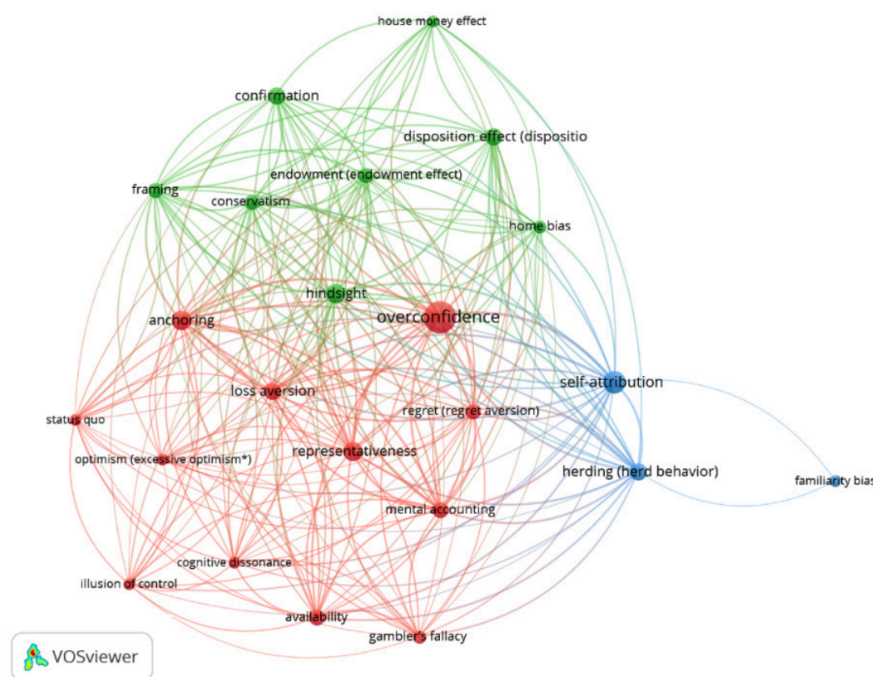
Markets VS Faulty Human Nature

Author, Source & Date Published: A comprehensive Review of Behavioral Biases in Financial Decision-making: from Classical Finance to Behavioral Finance Perspectives by Kanapickiene et al. published July 2024

Link: [Journal of Business Economics and Management](#)

Overview

Behavioural finance, a sensational point of contention to the classical approach and Efficient Market Theory (EMT) in its early days, has since become a familiar term. When markets behaved in ways that simply could not be explained by classical finance theory, **a fusion of psychology, finance, economics, and sociology entered the stage to account for the less rational side of humans and investors who influence the market**. The study here looks at how this shift in perspective has taken place in the literature and which biases tend to be most consequential and dominant in the average retail investor. While the field as a whole does not suffer from unpopularity, many of us are not fully familiar with the biases that affect us day by day. Not just when it comes to investing, but when it comes to the less market-driven decisions like course-selection, which degree suits us or how much we should be spending on groceries. Kanapickiene and colleagues find over 47 biases that have been discussed in the literature. For the sake of space, we'll focus on some of the primary ones that have frequented behavioural finance and tend to trap even the most savvy investors.



Source: A comprehensive Review of Behavioral Biases in Financial Decision-making: from Classical Finance to Behavioral Finance Perspectives

Educational Angle

Biases tend to fall into cognitive or emotional categories. Cognitive ones are much easier to handle. In fact, in the world of financial advising the general rule of thumb is to moderate cognitive biases and adapt to the emotional ones. Emotional biases can be tricky. They're not the result of a lapse in judgment, or a calculation error, they're often more deep-seated and hard to recognize, let alone get rid of.

Overconfidence

While the categorization of this bias will go from emotional to cognitive from study to study, its presence in almost 65% of all behavioural finance research is testament to how powerful and commonplace it is. **Overconfidence is a person's unwarranted faith in one's intuition, or unfounded trust in faulty information that does not produce the market advantage one may believe.** Interestingly enough, there is an entire subsection of behavioural finance that compares male and female fund managers and finds that men are more likely to fall into traps of overconfidence than women. While women tend to be more susceptible to Status Quo Bias (wanting to keep things the way they are).

Self-Attribution

Self-attribution is the classic: "it's sunny because I spoke it into existence and it's raining because the universe hates me". It is **the tendency for us to celebrate our successes as proof of our skill and intelligence while blaming our shortfalls on external factors.** It's a cognitive bias designed to protect us from our own egos. The biggest problem with this bias is that it ultimately prevents one from learning a lesson. Investors exhibiting this bias tend to place more trades than their position would warrant because they trust their abilities and find every success as supporting evidence. Their losses. . . well that's just the way the market works.

Anchoring

Anchoring is a person's tendency to hold on to the first piece of information they learn and compare subsequent information to this reference point. They do this even when the starting point may be entirely irrelevant or misleading. One of the early proponents of this bias were Tversky and Kahneman, who used a rigged wheel of fortune to see how it would influence people's estimate of the percentage of African countries that are UN members. The wheel of fortune gave a "random" number and participants were asked to guess whether the percentage is higher or lower than the number presented. The group that got the lower number consistently guessed lower than the other. The first piece of information, as irrelevant as it was, anchored their subsequent thinking.

Disposition Effect

Disposition bias or effect results from a combination of loss aversion and regret avoidance. **It basically convinces an investor to see their winning stocks too quickly and hold on to their losing ones for far too long.** A lethal combination that will lead to poor performance. But you don't have to have an extensive portfolio to fall victim. We give in to the disposition effect when we quit a new skill too early fearing that we might fail or hold on to a hobby we're terrible at for too long.

Representativeness

As we learn throughout our lives, we have no choice but to organize this information; and this organization often comes in the form of classification, a series of folders in our heads that book-keep our sanity. So naturally, **confronted with a new piece of information, we do our best to fit it with our previous knowledge and experiences, when this classification fails, it presents new information in likeness of a previous experience, even if the two have absolutely nothing to do with one another.** Representativeness is perhaps the most difficult bias to overcome because it is the result of a thinking process that serves us quite efficiently most of the time. It leads to investors judging poor fundamentals as sound because they "look like" what they've seen in the past or pass up an opportunity because what they see is too similar to what brought them loss in the past.

Endowment Bias

Categorized as an emotional one, this bias contradicts the very heart of economic thinking. As economists, we assume that a person's willingness to pay for a good should be equal to their willingness to buy a good. But it turns out that **people tend to place higher value on assets they own over assets they don't, leading to the endowment bias.** We see this in full display when people start to resell concert tickets. The next time you stare at your computer, flabbergasted that someone wants to charge \$1200 for a ticket that should realistically be \$300, perhaps the endowment bias will help soften the blow.

The biases mentioned above really only scratch the surface. As the field of behavioural finance has grown, so has the number of psychologists and economists that continue to study these pitfalls of being human. Understanding these biases not only matters at an institutional level for better equipping the economy and markets with some risk-hedging but also allows financial institutions, advisors and professionals to better grasp the investor base they are dealing with. And even beyond the world of finance, these biases come up in the decisions we make everyday. So the study of those decisions in the field of economics must take this facet into account.